The concept of effective demand is more clearly shown in the figure 3.3

In the figure, the aggregate demand and aggregate supply reach equilibrium at point E. The employment level is N_o at that point.

At ON_1 employment, the aggregate supply is N_1 R_1. But they are able to produce M_1 N_1. The expected level of profit is M_1 R_1. To attain this level of profit, entrepreneurs will employ more labourers. The tendency to employ more labour will stop once they reach point E. At all levels of employment beyond, ON_o, the aggregate demand curve is below the aggregate supply curve indicating loss to the producers. Hence they will never employ more than ON_o labour. Thus effective demand concept becomes a crucial point in determining the equilibrium level of output in the capitalist economy or a free market economy in the Keynesian system.

It is important to note that the equilibrium level of employment need not be the full employment level (N_1) from the Figure 3.3, it is understood that the difference between $N_o - N_f$ is the level of unemployment. Thus the concept of effective demand becomes significant in explaining the under employment equilibrium.

3.7 Comparison of Classicism and Keynesianism

Sl.No	Keynesianism	Classicism
1.	Short-run equilibrium	Long-run equilibrium
2.	Saving is a vice	Saving is a social virtue.
3.	The function of money is a medium of exchange on the one side and a store of value on the other side.	The function of money is to act as a medium of exchange
4.	Macro approach to national problems	Micro foundation to macro problems
5.	State intervention is advocated.	Champions of Laissez-fair policy
6.	Applicable to all situations – full employment and less than full employment.	Applicable only to the full employment situation.
7.	Capitalism has inherent contradictions	Capitalism is well and good.
8.	Budgeting should be adjusted to the requirements of economy.	Balanced budget

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